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THE CFO ADVANTAGE

From deal-making to digital transformation, CFOs are redefining leadership for a future-ready enterprise

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THE ROLE OF the Chief Financial Officer has undergone a fundamental shift. No longer limited to financial stewardship, today's CFO operates as a strategic leader influencing enterprise-wide priorities. Their responsibilities now extend into mergers and acquisitions (M&A), digital transformation, and international expansion. This broadening mandate reflects the increasing complexity of business decisions and the need for integrated, data-led leadership.

In the context of M&As, CFOs are central to shaping growth strategy. They are involved from the earliest stages of identifying opportunities to evaluating strategic fit, conducting valuations, structuring deals, and managing capital allocation. Their oversight remains critical during integration, where maintaining operational continuity and achieving expected synergies can determine the long-term success of a transaction. According to EY's M&A insights, India recorded 649 deals in Q3 FY25, reflecting a 10% increase over the 590 deals in the

second quarter of financial year 2024-25. Activity was dominated by the infrastructure, technology, and healthcare sectors. Strategic buyers accounted for 60% of transactions, signalling a sustained focus on consolidation and capability building. Private equity continued to play a strong role as well, with \$38.4 billion invested across 977 deals until September 2025, compared to \$26.7 billion across 610 deals until June 2025. These numbers reinforce the importance of a structured and disciplined approach to M&A, led in

allocation, positions them to champion the adoption of technologies such as analytics, artificial intelligence, and automation. These tools support more accurate forecasting, faster decision-making, and more efficient processes. EY research shows that CFO-led digital initiatives can improve operational efficiency by up to 30%, demonstrating the tangible benefits of modernising the finance function.

Global expansion presents another area where CFOs are taking on a broader leadership role. As

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large part by CFOs.

CFOs are also playing a decisive role in driving enterprise innovation. As companies adopt new technologies and operating models, finance leaders are increasingly responsible for enabling and scaling digital transformation. Their access to financial data, coupled with their role in risk assessment and capital

allocation, positions them to champion the adoption of technologies such as analytics, artificial intelligence, and automation. These tools support more accurate forecasting, faster decision-making, and more efficient processes. EY research shows that CFO-led digital initiatives can improve operational efficiency by up to 30%, demonstrating the tangible benefits of modernising the finance function.

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